The **different uses** of the concept of NDP are as given below:

(a) For domestic use only – to understand the historical situation of the loss due to depreciation to the economy. Also used to understand and analyse the sectoral situation of depreciation in industry and trade in comparative periods.

(b) To show the achievements of the economy in the area of research and development which have tried cutting the levels of depreciation in a historical time period.

However, NDP is not used in comparative economics, i.e., to compare the economies of the world. Why this is so? This is due to different rates of depreciation which is set by the different economies of the world. Rates of depreciation may be based on logic (as it is in the case of houses in India—the cement, bricks, sand and iron rods which are used to build houses in India can sustain it for the coming 100 years, thus the rate of depreciation is fixed at 1 per cent per annum). But it may not be based on logic all the time - for example, upto Feb 2000 the rate of depreciation for the heavy vehicles (vehicles with 6-wheels and above) was 20 per cent while it was done 40 per cent afterwards - to boost the sales of the vehicles. There was no logic in doubling the rate! Basically, depreciation and its rates are used by the modern governments as a tool of economic policy-making also, which is the ***third way*** how depreciation is used in economics.

GNP

Gross National Product (GNP) is the GDP of a country added with its 'income from abroad'. Here, the trans-boundary economic activities of an economy is also taken into account. The items which are counted in the segment 'Income from Abroad' are:

(i) *Trade Balance:* the net outcome at the year end of the total exports and imports of a country may be positive or negative accordingly added with the GDP (in India's case it has always been negative except the three consecutive years 2000-03 when it was positive, due to high levels of 'services sector' export during the years courtsey the booming BPO industry).